

Accounting Questions WAEC Candidates/Private

Question 1

1. What are incomplete records?
2. Outline three limitations of keeping incomplete records.
3. State three reasons a business keeps incomplete records.

Question 2 Identify the errors in the following transactions and state if they would affect the agreement of the trial balance totals:

1. Purchase of consumables posted to purchases account.
2. An invoice amount incorrectly posted to purchases day book.
3. Returns outwards posted to the personal account only.
4. The total sales of N 120,000 was recorded as N 102,000.
5. Payment of cheque to Ige entered on the receipt side of the cash book and credited to Ige's account.

Question 3 List five users of accounting information and state their respective interest in the accounting information.

Question 4

1. Explain accounting ratio giving one example of liquidity ratio.
2. State three uses of accounting ratio.
3. Outline three limitations of accounting ratios.

Question 5 Prepare the following:

1. Correct the errors through journal entries.
2. Prepare Trading, Profit and Loss Account.

Question 6 Compute the following:

1. The total revenue for the country.
2. Revenue for the Federal/Central government.
3. Revenue for the Regions/States collectively and individually.

Question 7 Prepare the firm's:

1. Realization Account.
2. Partners' Capital Accounts in columnar form.

Question 8 Prepare Manufacturing, Trading, Profit and Loss Account.

Question 9 Prepare the following Ledger Accounts:

1. Share Application Account.
2. Allotment account.
3. First and Final Call account.
4. Bank account.
5. Ordinary Share Capital account.

Question 10

1. Identify three books of account from which entries are made into control accounts.
2. State two uses of control accounts.
3. List four items each which would be recorded on the debit side of:
 - Purchases Ledger Control Account.
 - Sales Ledger Control Account.

Question 11

1. What is goodwill?
2. List four items of recurrent expenditure for a local government.
3. Explain the three types of inventory in manufacturing account.

Question 12 Explain the following terms:

1. Accumulated fund.
2. Statement of Affairs.
3. List five sources of income for a not-for-profit-making organization.
4. State three differences between Receipts and Payments Account and Income and Expenditure Account.

Question 13

1. List three accounts prepared by the head office for the branch.
2. Explain two methods of accounting for goods sent to branch.
3. State four reasons for preparing departmental accounts.

Question 14 Prepare the following:

1. Adjusted Cash Book.
2. Bank Reconciliation Statement.

Question 15 Prepare the following:

1. Subscriptions Account.
2. Competition Prizes Suppliers Account.
3. Competition Trading Account.
4. Income and Expenditure Account.

Question 16 Prepare the following:

1. Trading, Profit and Loss and Appropriation Account.
2. Balance Sheet.

Question 17 Prepare the following:

1. Statement of Capital Expenditure.
2. Statement of Revenue Expenditure.

Question 18 Prepare the following:

1. The individual creditors account.
2. The total creditors account.

Question 19

1. Accumulated fund.
2. Differences between Income and Expenditure Account and Receipts and Payments Account.
3. Differences between Fixed Capital Account and Fluctuating Capital Account.

Question 20

1. Differentiate between book of original entry and accounting books.
2. Uses of source documents.

Question 21

1. Distinction between Depreciation and Amortization.
2. Examples of assets associated with depreciation.
3. Factors that must be considered in computing annual depreciation of a fixed asset.

Question 22

1. Distinction between Capital Expenditure and Revenue Expenditure.
2. Reasons for differentiating capital expenditure from revenue expenditure.

Question 23

1. Write up journal entries to correct the errors.
2. Show the corrected net profit.

Question 24 Prepare the following:

1. Subscriptions Account.

2. Bar Trading Account.
3. Income and Expenditure Account.

Question 25 Prepare the following:

1. Profit and Loss Account.
2. Profit and Loss Appropriation Account.
3. Balance Sheet.

Question 26 Prepare the following:

1. Adjusted Cash book.
2. Bank Reconciliation Statement.

Question 27 Prepare a Departmental, Trading, Profit and Loss Account.

Question 28 Explain the following items and outline how they are treated in the final accounts:

1. Increase in provision for doubtful debts.
2. Decrease in provision for doubtful debts.
3. Provision for discount on debtors.
4. Provision for discount on creditors.
5. Provision for depreciation.

Question 29

1. What are closing entries?
2. Distinguish between a branch and a department.
3. State four reasons for the preparation of branch accounts.

Question 30

1. State three effects of drawings on the business of a sole proprietor.
2. Explain how the following items are treated in the balance sheet:
 - Accrued expenses.
 - Prepaid expenses.
 - Accrued income.

Question 31

1. Outline three reasons for which a cheque would be dishonoured.
2. Explain the following terms:
 - Petty cash float.
 - Contra entries.
 - Imprest system.
3. State three advantages of keeping petty cash book using imprest system.

Question 32 Prepare the following:

1. Sales Journal.
2. Sales Ledger Control Account.

Question 33 Prepare the following:

1. Profit and Loss Appropriation Account.
2. Partners' Current Accounts.

Question 34 Prepare the following:

1. Adjusted Cash Book.
2. Bank Reconciliation Statement.

Question 35 Prepare the following:

1. Journal entries to correct errors.
2. Suspense Account.

Question 36 Prepare some basic accounting ratios.

Question 37

1. Mention three disadvantages to a business that does not keep proper accounting records.
2. Explain the following characteristics of accounting information:
 - Relevance.
 - Comparability.
 - Consistency.
 - Reliability.
3. State two limitations in the use of accounting information for business decision making.

Question 38

1. Explain with examples, the following components of cost in a Manufacturing Account:
 - Direct material cost.
 - Direct labour cost.
 - Factory overhead.
2. Describe the three types of stocks in a manufacturing concern.

Question 39

1. Which business organizations have need to prepare departmental accounts?
2. State two reasons for preparing departmental accounts.
3. State how the following incomes and expenses are apportioned in departmental accounts:
 - Discount allowed.

- Discount received.
- Rent and rates.
- Staff related costs.
- Depreciation.
- Canteen expenses.
- Electricity.
- Advertising.
- Bad debts.

Question 40

1. List six users of accounting information.
2. State the formula and the use of each of the following accounting ratios:
 - Quick ratio.
 - Net profit margin.
 - Total assets turnover.
 - Creditors payment period (in days).

Question 41 Prepare the following:

1. Suspense Account.
2. Post journal entries and a new Balance Sheet.

Question 42 Prepare the following:

1. Statement of Affairs.
2. Statement showing the net profit or loss for the year.

Question 43 Prepare the following:

1. Trading, Profit and Loss Account.
2. Profit and Loss Appropriation Account.

Question 44 Prepare the following:

1. Departmental, Trading, Profit and Loss Account.

Question 45 Prepare the following:

1. Ordinary share application account.
2. Ordinary shares allotment account.
3. Final call account.
4. Stated (share) capital account.
5. Company bank account.

Question 46

1. State three distinguishing features between reserves and provisions.
2. State two types of reserves with an example each.

Question 47

1. Describe:
 - Bank Statement.
 - Bank reconciliation statement.
2. List eight items that cause disagreement between Cash book and statement balances.

Question 48 Explain the following:

1. Fictitious assets.
2. Intangible assets.
3. Real account.
4. Long-term liabilities.

Question 49 Explain the following:

1. Three errors that would affect the agreement of a trial balance.
2. A suspense account.

Question 50 Prepare the following:

1. Manufacturing account.
2. Trading and Profit and Loss account.

Question 51 Prepare the following:

1. Application account.
2. Allotment account.
3. Ordinary share Capital account.
4. 1st Call Account.
5. 2nd Call Account.
6. Bank Account.

Question 52 Prepare the following:

1. Sales Day Book.
2. Sales Return Book.
3. Purchase Returns Book.

Question 53 Prepare the following:

1. Realization Account.
2. Partners Capital Account.

3. Partners current Account.
4. Bank Account.

Question 54 Calculate simple Accounting Ratio.

Question 55 Explain the following:

1. Partner's Current Accounts.
2. Partnership Appropriation Accounts.
3. Limited Partners.

Question 56

1. Explain the term depreciation.
2. List three methods of providing for depreciation.
3. State three reasons for making provision for depreciation.

Question 57 Explain each of the following:

1. Authorized share capital.
2. Issued share capital.
3. Called up share capital.
4. Paid up share capital.
5. Calls in arrears.

Question 58 Prepare the following:

1. Trading Account.
2. Profit and Loss Account.
3. Balance Sheet.

Question 59 Prepare the following:

1. Control Accounts.
2. Purchases Ledger Control Account.
3. Sales Ledger Control Account.

Question 60 Prepare the following:

1. Bank Reconciliation Statement.

Question 61 Prepare the following:

1. Trading and Profit and Loss Account.
2. Departmental Trading and Profit and Loss Account.

Question 62 Prepare the following:

1. Subscription Account.
2. Bar Trading Account.
3. Income and Expenditure Account.

Question 63 Prepare the following:

1. Realization Account.
2. Partners Capital Account.
3. Partners Current Account.
4. Bank Account.

Question 64 Prepare the following:

1. Trading Account.
2. Profit and Loss Account.
3. Balance Sheet.

Question 65 Prepare the following:

1. Journal entries to correct errors.
2. Suspense Account.

Question 66 Prepare the following:

1. Subscriptions Account.
2. Income and Expenditure Account.

Question 67 Prepare the following:

1. Manufacturing Account.
2. Trading Account.
3. Profit and Loss Account.

Question 68

1. Define the following terms:
 - Revenue reserve.
 - Capital reserve.
 - Secret reserve.
2. State the differences between reserve and provision.

Question 69

1. List four examples each of:

- Direct expense.
 - Indirect expense.
- 2. Explain the following types of error and state their effect on trial balance:
 - Error of commission.
 - Error of omission.
 - Error of principle.
 - Compensating error.
 - Error of original entry.
 - Error of transposition.

Question 70

1. Explain the term "accounting concepts" and list the accounting concepts that must be considered when preparing the final accounts of an organization.

Question 71 Prepare the following:

1. Income and Expenditure Account.
2. Balance Sheet.

Question 72 Prepare the following:

1. Profit and Loss Account.
2. Partners Current Accounts.
3. Partners Capital Accounts.

Question 73 Prepare the following:

1. Trading Account.
2. Profit and Loss Account.
3. Balance Sheet.

Question 74 Prepare the following:

1. Application and Allotment Account.
2. Calls Account.
3. Bank Account.

Question 75

1. List three examples each of current liabilities and non-current liabilities.
2. Define authorized share capital and distinguish it from issued share capital.

Question 76

1. State the differences between Revenue Reserve and Capital Reserve.

Question 77 Prepare the following:

1. Realization Account.
2. Partners' Capital Accounts.
3. Bank Account.

Question 78 Prepare the following:

1. Departmental Trading, Profit and Loss Account.
2. Income and Expenditure Account.

Question 79 Prepare the following:

1. Manufacturing Account.
2. Trading Account.
3. Profit and Loss Account.

Question 80

1. List the books in which a trader records each of the following transactions:
 - Withdrawal of goods for personal use.
 - Returns of goods to supplier.
 - Purchases of office furniture.
 - Carriage paid on purchases.
 - Sales of old newspapers.
2. Differentiate between fixed capital and floating capital.

Question 81

1. List five errors not revealed by a trial balance.
2. Explain the following terms:
 - Provisions for bad debts.
 - Provision for depreciation.
 - Provision for discounts allowed.
3. Explain why provisions are made in accounting.

Question 82 Prepare the following:

1. Application and Allotment Account.
2. Calls Account.
3. Bank Account.

Question 83 Prepare the following:

1. Manufacturing, Trading, Profit and Loss Account.
2. Balance Sheet.

Question 84 Prepare the following:

1. Suspense Account.

Question 85 Prepare the following:

1. Subscription Account.
2. Income and Expenditure Account.
3. Trading Account.

Question 86 Prepare the following:

1. Realization Account.
2. Partners' Capital Accounts.
3. Cash Book.

Question 87 Prepare the following:

1. Sales Ledger Control Account.
2. Purchases Ledger Control Account.